

R-04 — Walkthrough

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · FX revaluation reviewed at month-end

Control	FX revaluation reviewed at month-end (R-04)
Sub-process	Consolidation
Nature / frequency	Manual · Monthly
Risk addressed	Foreign-currency balances revalued incorrectly.
Walked on	2026-03-11
Performed by	A. Jain, Audit Senior
Attended by	Consolidation lead, Financial Controller
Transaction walked	Revaluation run FX-26-02 · February 2026 · USD, EUR, GBP · INR 84.1 lakh gain

What we did

We selected one month-end revaluation from the period and followed it from the rate upload through the revaluation run to the reviewer signing off the result, observing the control operate and inspecting the evidence it leaves at each point. The run walked was FX-26-02 for February 2026, covering USD, EUR and GBP exposures and producing a net unrealised gain of INR 84.1 lakh.

What we observed, against each design check

1. Control addresses the stated risk and assertion.

The month-end review is the control the risk register names against R-54 — foreign-currency balances revalued incorrectly. We traced it to that risk and to the valuation assertion over monetary balances. The reviewer re-performs the calculation on a sample of balances against the published closing rate rather than accepting the system output, which is what makes the control address the risk of a wrong rate or a missed exposure rather than simply confirming that a run happened.

Conclusion: operating as designed

2. Control operates at sufficient precision.

The review is performed to a stated threshold. Any line where the recalculated revaluation differs from the system output by more than INR 0.5 lakh is investigated before the journal is released, and the aggregate movement is compared against an expectation built from the opening exposure and the rate movement, with a tolerance of 5 per cent. The February run fell within that limit at 2.1 per cent of expectation.

Conclusion: operating as designed

3. Performed as described for each sampled item — designed to happen, at per item.

The reviewer is independent of the person who runs the revaluation. The run is executed by the treasury accountant and reviewed by the Financial Controller, who does not hold the revaluation transaction in SAP — the two roles are segregated in the authorisation profile, so the review cannot be bypassed by the preparer releasing the journal directly.

Conclusion: operating as designed

4. Exceptions handled per policy — designed to happen, at per exception.

The operation of the control is evidenced and retained. The rate upload file, the system revaluation report, the reviewer's recalculation worksheet and the posted journal are filed together in the close pack, and SAP retains the audit trail of the rate table upload showing who loaded the rates and when. We inspected the February pack and all four were present, with the reviewer sign-off dated 5 March.

Conclusion: operating as designed

Items inspected

Currency	Exposure (000)	Opening rate	Closing rate	Reval (INR lakh)	Recalculated	Variance
USD	4,180	83.12	84.06	39.3	39.3	—
EUR	2,740	89.60	90.71	30.4	30.2	0.2
GBP	1,015	104.88	106.22	13.6	13.6	—
SGD	640	61.40	61.55	0.8	0.8	—
AED	1,900	22.63	22.88	—	—	—

Conclusio

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The control is designed effectively to address the risk recorded against it. The walkthrough confirmed that each design check operates as described, that the control runs at a precision capable of catching a material error, that it is performed independently of the activity it controls, and that it leaves an audit trail sufficient for a reviewer to establish that it ran.

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